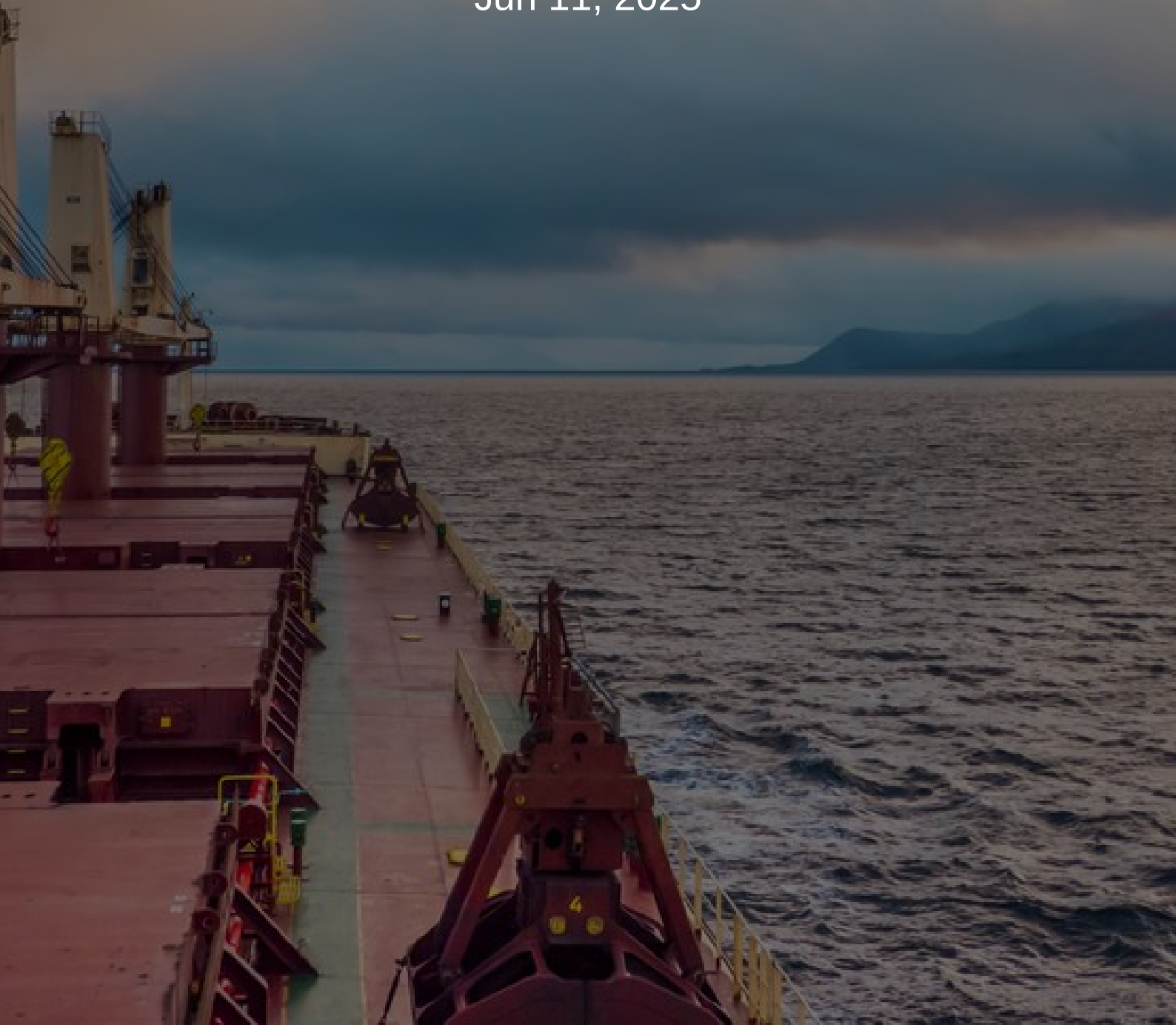


Fearnleys Dry Bulk Weekly

Jun 11, 2025



Capesize/Newcastlemax

A recap of what we have written in previous weeklies:

April 15: Imported iron ore consumption in China has continued to rise. This suggests the market could muster a rally over the next month or so.

April 30: China's imported iron ore consumption increased further last week, and is now higher than at any point last year (but still slightly below the 2023 peak). The fact that the market is not up more already indicates that there is not much strength to trace, except for China's iron ore (and Bauxite) consumption. We still think further gains are likely over the coming weeks, and that a correction in June looks likely.

May 12: China's imported iron ore consumption has remained high in the previous two weeks, and there have been no significant changes to iron ore inventories. With that considered, shipment volumes from West Australia were lower than what one would expect last week. This could mean the market dip at the end of last week was temporary.

May 21: Last week, China's imported iron ore consumption decreased for the first time since early March. The month-on-month change has dropped from +5.6% to +1.6% during the previous three weeks.

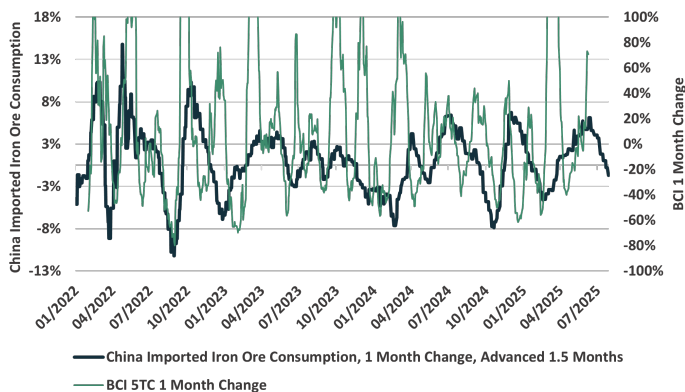
The VLCC ballaster/laden vessel ratio has dropped below 80%, which often precedes a weakening Capesize market.

Along with the weakening indicators related to iron ore, the force majeure declared by some Bauxite shippers rattled market sentiment. June and July could be sluggish months for the Capesize market.

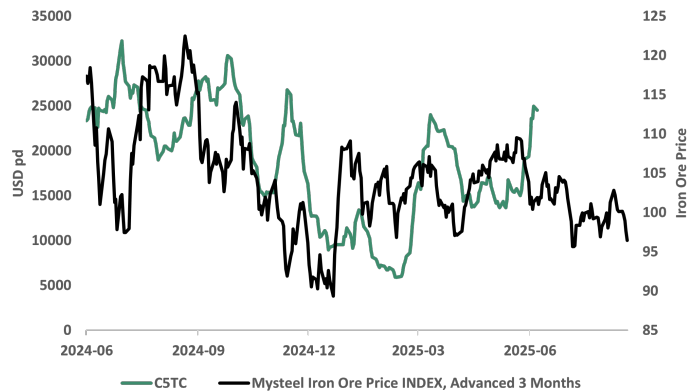
To summarize, we thought a rally was coming, but gave up on it in late May - but then the market spiked.

The market is in a topping phase now, we think, supported by last week's weakening Pacific market and a high Cape/Pmx ratio. However, Atlantic market tightness prevails, and it is very hard to say at what point that ends.

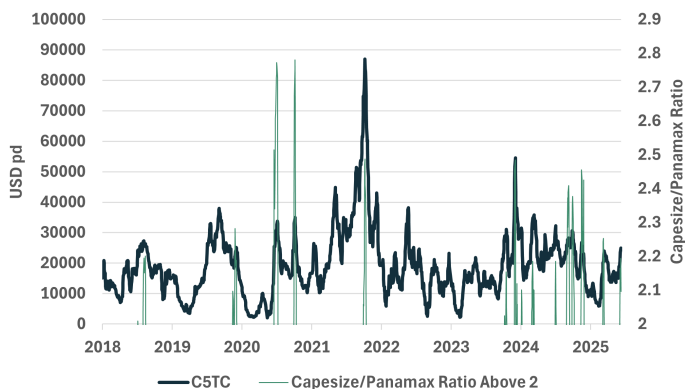
China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



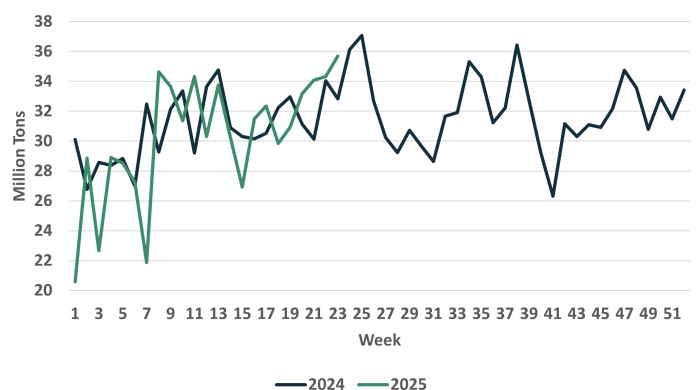
Iron Ore Price, 3 Months Lead vs BCI5TC



Capesize Panamax Ratio vs BCI5TC



Capesize/Newcastlemax Weekly Shipment Volumes 2024 vs 2025





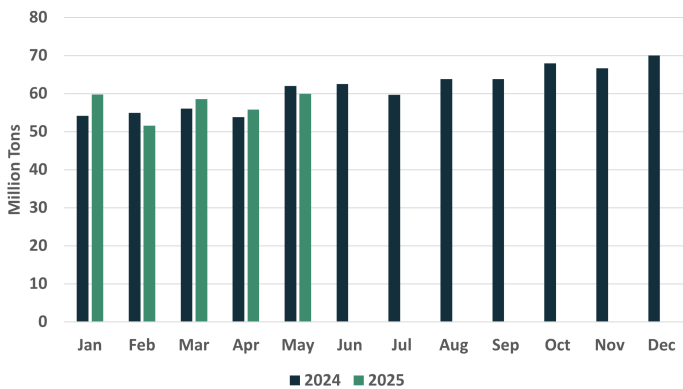
Panamax/Kamsarmax

The fundamental situation remains unchanged. In this segment, coal, iron ore, and bauxite shipments growth is around 0%, and total grains growth is slightly negative. However, Brazil and US grain shipments are positive year-on-year, which has supported the market.

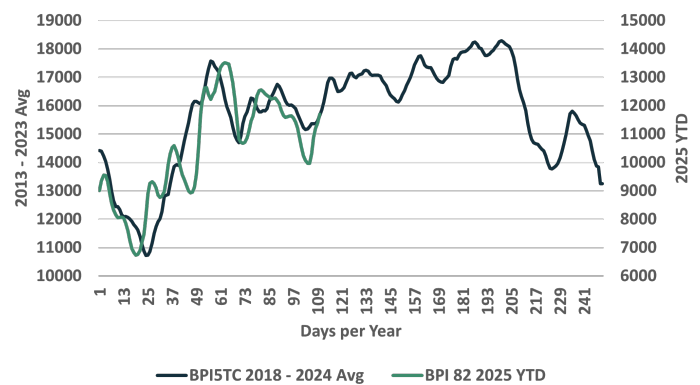
We do not think there will be any major changes to fundamentals going forward. An index level of around 12kpd could thus be in the upper range of what current fundamentals "allow".

As of now, the market is firmer, so we expect sideways or slightly up over the next week.

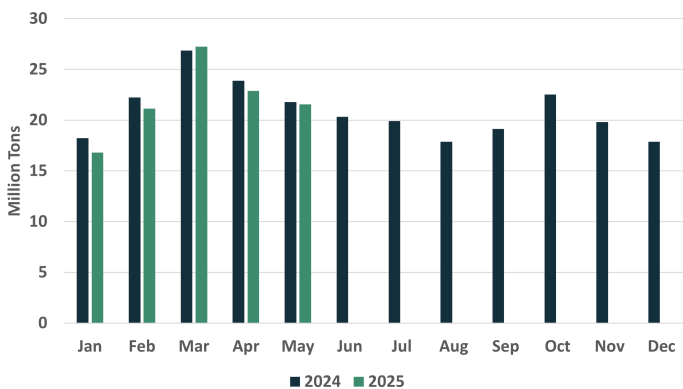
Panamax / Kamsarmax Coal Loadings by Month



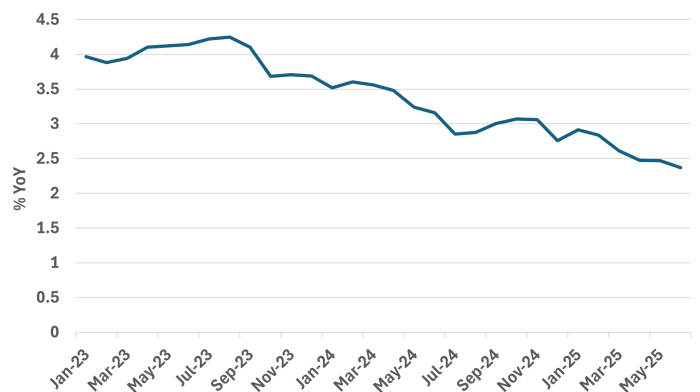
Kamsarmax Market Seasonality



Panamax / Kamsarmax Grain Loadings by Month



Panamax / Kamsarmax Fleet Growth





Supramax/Ultramax

In our report three weeks ago, we wrote:

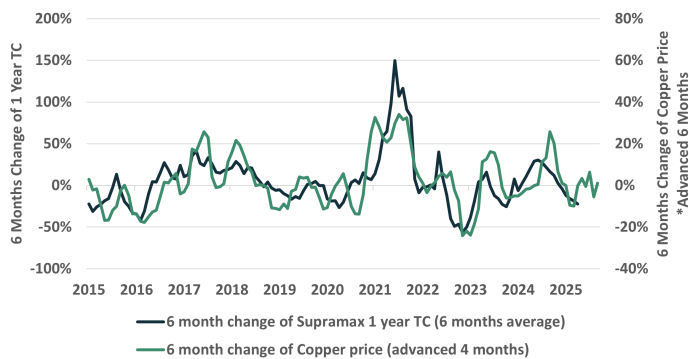
There is no change to the fundamental backdrop. Given how closely the market has tracked average seasonality over the last week, it could mean the S11TC index will drop below 12kpd within the next 2-3 weeks.

Two weeks ago, we followed up with:

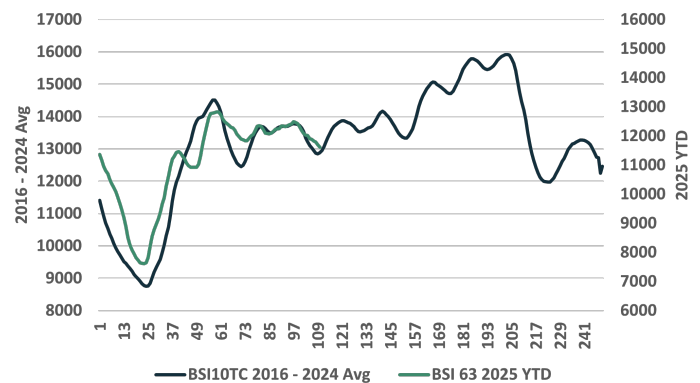
Market correction imminent? Seasonality suggests as much, and the Kamsarmax market has weakened considerably over the last week.

As the Kamsarmax market has found some footing, we think the Ultramax market will stabilize around current levels.

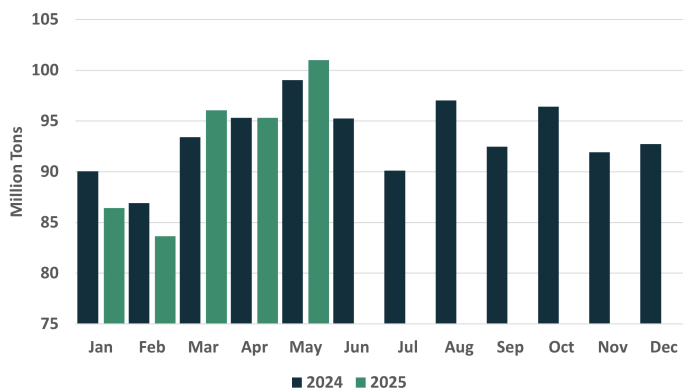
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



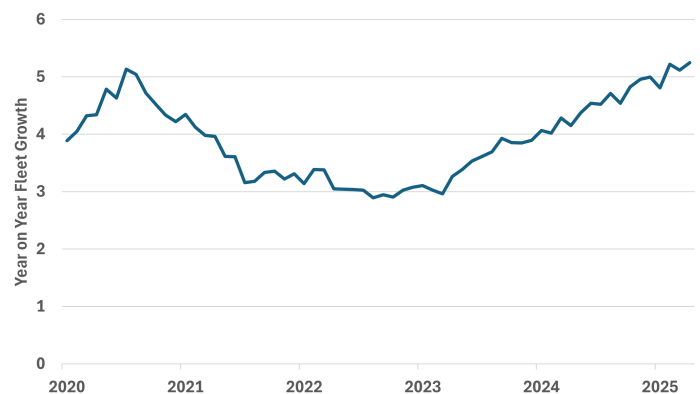
Supramax / Ultramax Market Seasonality



Supramax/Ultramax Monthly Shipment Volumes, by Year



Supramax/Ultramax Year on Year Fleet Growth





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